

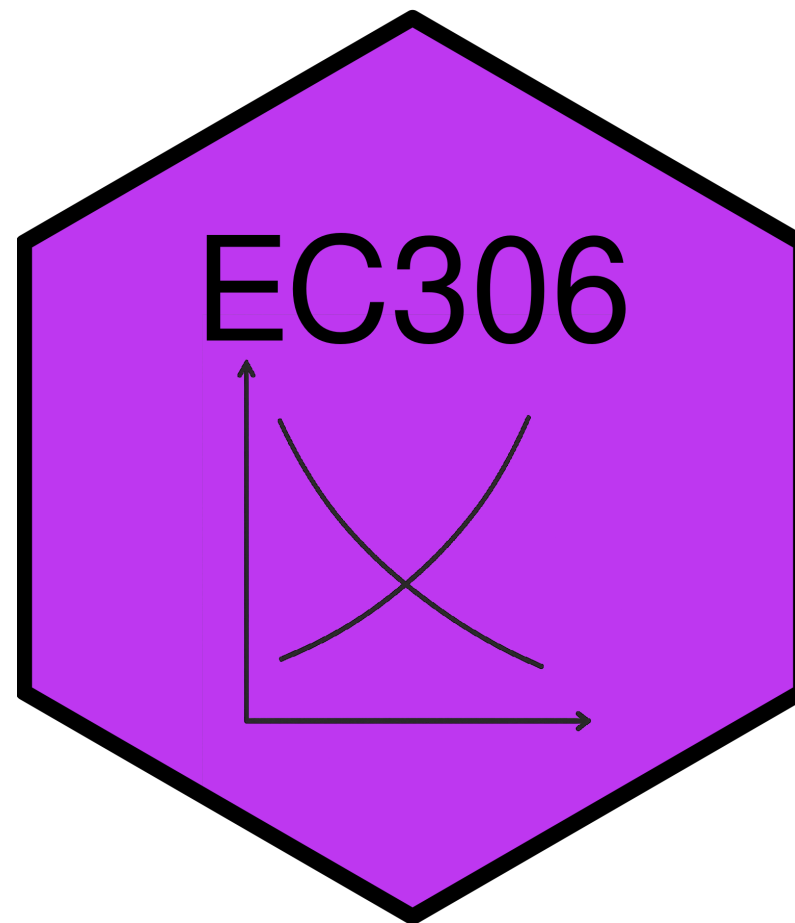
Labour Supply and Later Career Decisions

EC306- Wages and Employment

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Goals of This Section

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In this section we will:

- Describe how labour supply changes with age
- Discuss retirement policies in Canada
- Analyze how public and employer pensions affect retirement decisions
- Examine the evidence on pensions and retirement

Retirement and Pensions

Introduction

Retirement is a key life event that affects labour supply

- Most people retire at some point
- Retirement age has been changing over time

It can mean many things:

- Permanent exit from the labour force
- A reduction to part-time work
- Retiring from one full-time job and taking another

For most people:

Retirement means permanent exit from the labour force

Determinants of Retirement - Age

! Most Important Determinant

Age is the most important determinant of retirement

- Most people retire between ages 60 and 70
- Very few people retire before age 50 or after age 75

Mandatory retirement:

- In Canada it is generally illegal to force retirement based on age
- Except if deemed a bona fide occupational requirement (BFOR)
 - Like for pilots, police, firefighters, air traffic controllers
- Still exists in other parts of the world (e.g. Japan, China, parts of Europe)

Determinants of Retirement - Wealth/Earnings

Wealth in our model entered as non-labour earnings:

- Higher wealth → higher non-labour income
- Higher non-labour income → more leisure (less work)

Earnings changes have income and substitution effects:

- **Income effect:** higher earnings → higher lifetime income → more leisure (less work)
- **Substitution effect:** higher earnings → leisure more expensive → less leisure (more work)

Can also think of this in a lifecycle model

Determinants of Retirement - Other

Health is an important determinant:

- Poor health can force people to retire early
- Good health can allow people to work longer
- Health of family members can also play a role
- Might operate through non-labour income or preferences

Determinants of Retirement - Other

Changing nature of work:

- Move towards less physically demanding jobs can prolong work life
- More flexible work arrangements can allow people to work longer
- Alternatively, more stressful jobs can lead to earlier retirement
- Automation might force early retirement
- Could affect the budget constraint or preferences

Determinants of Retirement - Other

Changing nature of family:

- Many more two-earner families now
 - Can lead to earlier retirement for one spouse
 - Or could prolong work if spouses want to work together longer
- Children living at home for longer can affect retirement timing
- Increase in caring for elderly parents can lead to earlier or later retirement
- Might affect budget constraint or preferences

Retirement Income

! Major Effect on Retirement Decisions

Public and private pension plans determine most income in retirement

The pension system in Canada consists of:

1. Old Age Security (OAS)

- A flat rate pension available to most Canadians over age 65
- Funded out of general tax revenues
- Monthly max is \$740 for those aged 65-74, \$814 for those 75+
- Clawback for high income earners (above \$148,000 in 2024)
- Supplemented by the Guaranteed Income Supplement (GIS) for low income seniors

Retirement Income

2. Canada/Quebec Pension Plan (CPP/QPP)

- Earnings-related pension available to those who have contributed
- Funded by contributions from employees, employers, and self-employed
- Monthly max is \$1,433 in 2025 (age 65)
- Can start receiving as early as age 60 (reduced) or as late as age 70 (increased)
- Based on average earnings over working life, up to a maximum limit

Retirement Income

3. Employer Pension Plans

- Many employers offer pension plans to employees
- Can be defined benefit or defined contribution plans
- Vary widely in terms of benefits and eligibility
- Includes private savings from RRSPs

Old Age Security

What effect does OAS have on retirement decisions?

Operates as a lump sum transfer:

- Increases non-labour income
- Creates income effect: more leisure (less work)
- No substitution effect because it does not change the wage rate

GIS operates like a negative income tax:

- People get the lump sum payment
- Payments reduced by \$0.50 for each dollar of work income
- Has work incentives equal to a negative income tax

Canada/Quebec Pension Plan

The effect of pension income on retirement depends on how it is structured

In Canada currently, it is simply a fixed payment:

- Increases non-labour income
- Creates income effect: more leisure (less work)
- No substitution effect because it does not change the wage rate

In the past, there was a provision that reduced benefits if you worked:

- Similar to a negative income tax
- If the tax back rate is 100%, then it is like pure welfare
- Could also not tax back until a certain income level

Employer Pension Plan

Generally involve a fixed payment based on years of service and earnings

- Increases non-labour income
- Creates income effect: more leisure (less work)
- No substitution effect because it does not change the wage rate

Over time the parameters that determine the fixed payment can change:

- This can alter work incentives at retirement
- Example: if the benefit formula is changed to require more years of service
 - Would reduce the income effect of the pension
 - Could also create a substitution effect to work more to get the pension

Evidence on Effect of Pensions

Main Finding

Studies find that pensions affect retirement in expected ways

- Pensions that increase non-labour income lead to **earlier retirement**
- Pensions that create work incentives lead to **later retirement**

More recent work:

- Increase in retirement age increases working-age disability claims in UK
- Increasing public pension participation improves health behaviours (less smoking)
- Pension reform allowing Japanese spouses to claim half of pension earnings increased divorce

Think About It

If the government reduced CPP benefits but simultaneously eliminated the clawback on OAS for high earners, what would be the combined effect on the retirement age of high-income workers?

TODO — Health Capacity to Work

 Not yet written

BFGGLSS 2026 covers:

- Chapter 7 treats health capacity to work as a full section. The deck currently has four bullets on health inside *Determinants of Retirement*.

Summary

Summary

Retirement is a labour supply decision:

- Age is the strongest determinant, but wealth, health, and policy all matter
- Old Age Security, CPP/QPP, and employer pensions each change the budget constraint
- Pension design affects when people retire, not just how much they receive